

24CV02162 Kamron Bateni et al vs Sierra Property Group Inc et al

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Motion: Motion for Summary Judgment

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Hearing Date / Time

Fri, 08/14/2026 - 10:00

Nature of Proceedings

Motion for Summary Judgment

Tentative Ruling

For all reasons discussed herein, the motion of defendants John Nastro and Barbara Nastro for summary judgment or summary adjudication is denied.

Background:

This action commenced on April 17, 2024, by the filing of the original complaint by plaintiffs Kamron Bateni (Bateni), Mackenzie Bennetts (Bennetts), Aidan Delong (DeLong), Justin Hill-Kocak (Hill-Kocak), and Emma Welch (Welch) against defendants Sierra Property Group, Inc. (Sierra), Manning Holdings, LLC (Manning), John Nastro (John), and Barbara Nastro (Barbara) (Note: Due to common surnames, the court will refer to Mr. and Ms. Nastro by their first names to avoid confusion. No disrespect is intended. Collectively, the court will refer to John and Barbara as the Nastros).

The case relates to a residential property that plaintiffs allege contained toxic mold that caused them physical illness and emotional distress.

Plaintiffs filed their first amended complaint (FAC) on August 6, 2024, alleging seven causes of action: (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) breach of the covenant of quiet enjoyment; (4) tortious breach of the warranty of habitability; (5) negligence; (6) intentional infliction of emotional distress; and (7) negligent infliction of emotional distress.

On September 10, 2024, defendants Manning and the Nastos filed a cross-complaint against Sierra setting forth four causes of action for (1) comparative fault, (2) equitable indemnity, (3) implied contractual indemnity, (4) breach of contract, and (5) contribution. This cross-complaint generally alleges that Sierra is a corporate entity that manages, repairs, and maintains the Property.

On October 10, 2024, defendant Sierra filed a cross-complaint against Manning setting forth five causes of action for (1) equitable indemnity, (2) contribution, (3) declaratory relief, (4) apportionment of fault, and (5) express indemnity.

On February 28, 2025, plaintiffs filed the operative second amended complaint (SAC) setting forth the same causes of action as the FAC. However, plaintiffs include much more by way of detail and particularity. (Note: On August 22, 2025, plaintiffs filed a notice of errata regarding the SAC and provided the two exhibits that were inadvertently omitted from the SAC.)

As alleged in the SAC:

Plaintiffs are college students who rented units within a duplex owned and operated by defendants located at 6650 Trigo Ave., Unit 3, Isla Vista (Property). (SAC, ¶ 1.)

On June 20, 2023, Welch, Bennetts, and Hill-Kocak moved into the Property and Delong and Bateni moved in shortly thereafter. (SAC, ¶ 6.) Although defendants represented that there was no mold present within the Property at the time plaintiffs moved in, the tenants who resided at the Property immediately before plaintiffs had informed defendants of severe water damage as well as significant health problems while living at the property. (SAC, ¶ 7.) Evidence of potential mold issues was present when plaintiffs moved into the Property, but defendants “knowingly and falsely represented that no mold was present, even though they knew that the toxic mold levels at the property were 150 times the threshold scientifically recognized as dangerous to occupant health.” (Ibid.)

“Defendants are in the business of renting, managing, maintaining, and repairing residential units, including those affected by water intrusion and mold, meaning that they at all times had the specialized knowledge to recognize that the unit at issue had or was almost certain to have significant toxic mold. They also knew, were charged with the knowledge, of what constitutes dangerous levels of mold based on past testing and remediation work at rental units they had owned, and were aware of the significant dangers that such mold had caused to their tenants in the past. Defendants chose to do nothing to address the water damage or existing mold on the premises and instead actively concealed the presence of falsely represented within Plaintiffs’ lease that they inspected the premises, and intentionally or recklessly falsely represented that it was free from mold” (SAC, ¶ 8.)

“Defendants made these false representations with full knowledge of the condition of the premises and the health problems the conditions caused prior tenants-blattantly disregarding the health and safety of Plaintiffs or did so recklessly, because they wanted Plaintiffs to move in and pay a security deposit and rent. The truth was that Defendants knew that the mold levels were and remained at approximately 150 times the toxic mold threshold and the worst that its testing companies had ever seen. Defendants also knew that the prior tenants had become seriously ill due to the mold and that the sheer volume of toxic mold as tested would make any tenant, no matter how healthy, seriously ill and was potentially even more dangerous and/or deadly to tenants with allergies, lung/breathing conditions, and/or other vulnerabilities. Defendants did nothing, or next to nothing, to remediate the mold and instead concealed its existence and falsely lulled Plaintiffs into believing that the toxic mold was not present at all.” (SAC, ¶ 9; bold omitted.) Plaintiffs relied on defendants’ false representations to move in. (SAC,

¶ 10.)

"Beginning in the winter of 2023, and continuing through February 2024, each of the Plaintiffs began experiencing health issues. The health issues notably would improve when the Plaintiffs temporarily left the Subject Property, for example during a holiday break." (SAC, ¶ 12.)

"On February 13, 2024, Plaintiff Hill-Kocak observed large amounts of mold growth on the walls, window frame, curtains, and even the box spring of his bed. Furthermore, the bathroom wall, which had previously been opened up, had partially caved in due to the presence of moisture within the wall itself. When Plaintiff Hill-Kocak contacted Defendant Sierra about the presence of mold on February 14, 2024, Defendant Sierra knowingly falsely explained it was simply a 'cleanliness issue,' did not acknowledge the serious nature of the problem despite visibly observing the presence of mold in Plaintiff Hill-Kocak's bedroom, and failed to take immediate action to remediate the health hazard. Defendants knew that this was untrue, and that the toxic mold levels were 150 times the dangerous threshold, but delayed Plaintiff's evacuation from the unit at issue because they wanted to continue making money from Plaintiffs even if it came at the expense of their health. This was not an isolated occurrence but a pattern of lies and deceit to put their monetary interest above the health of their tenant[s] who were being exposed to outrageous toxic mold levels (the worst that the testing professionals had seen). This wrongful, malicious and intentional conduct occurred with the prior tenants, Plaintiffs, and other past and present tenants at the building, and the wrongful conduct occurred with full knowledge, approval, and/or ratification, of the officers, directors, and/or owners of Defendants." (SAC, ¶ 13, internal quotation marks omitted.)

"On February 19, 2024, Plaintiffs' mold inspection company notified Plaintiffs that the results were 'the worst they have ever seen' and advised Plaintiffs to vacate the Subject Property as soon as possible. Plaintiffs then notified Defendant Sierra of the results. Defendant Sierra falsely claimed that Plaintiffs could remain at the Subject Property safely, and without further issue, and that only remediation involved removing the wet drywall." (SAC, ¶ 18, internal quotation marks omitted.)

"Despite knowledge of the dangerous, toxic mold, Defendant Sierra induced Plaintiff Delong to move back into the property on the false promise that the property was safe to live in. Within 3-4 days, Plaintiff Delong was sick again from toxic mold exposure. Defendants knew that Plaintiff Delong had already experienced significant symptoms in reaction to the extremely high levels of mold and was thus even more susceptible to this repeat toxic mold exposure at such high levels." (SAC, ¶ 21.)

"All Defendants engaged in outrageous, malicious, unprivileged conduct, described in detail in this Complaint. All Defendants intended to cause Plaintiffs physical harm, emotional distress, and/or the Defendants engaged in the conduct complained of with reckless disregard of the safety of Plaintiffs with the high probability of causing Plaintiffs physical injuries and severe emotional distress. Plaintiffs' emotional distress includes but is not limited to constant worry over their health condition, worry about where to live, sleep difficulties and severe anxiety caused by physical and emotional illness. Plaintiffs were present at the time the outrageous conduct occurred; and all Defendants knew that Plaintiffs were present. Plaintiffs suffered physical injuries and severe emotional distress and this outrageous conduct of the defendants was a cause of the physical injuries and emotional distress suffered by Plaintiffs." (SAC, ¶ 69.)

"All Defendants acted willfully, maliciously, knowingly, with reckless disregard and callous indifference to the known consequences of their acts and omissions, and purposefully with intent to harm Plaintiffs, thereby warranting punitive and exemplary damages against all Defendants, in an amount to be proven at trial of this matter." (SAC, ¶ 71.)

On May 18, 2026, the Nastos filed a motion for summary judgment or in the alternative summary adjudication as to all claims in the SAC. "This motion is made on the grounds that John and Barbara Nastro are entitled to judgment on Plaintiffs' Second Amended Complaint and all causes of action therein, because all of Plaintiffs' claims are premised on John and Barbara being owners of the subject real property. John and Barbara Nastro are not owners of the subject property and therefore, Plaintiffs' complaint and all claims therein against the individual Defendants fail. What is more, John and Barbara did not have any direct dealings, contact, transactions, communications, or interactions with Plaintiffs." (Motion, p. 2, ll. 16-22.)

Plaintiffs oppose the Nastos' motion. Sierra and Manning did not file a response or opposition to this motion.

Analysis:

A defendant may move for summary judgment if the defendant contends the action against it has no merit. (Code Civ. Proc., § 437c, subd. (a).) To obtain summary judgment, a defendant must show “there is no triable issue as to any material fact and [the defendant] is entitled to a judgment as a matter of law.” (Id., subd. (c).)

A defendant has “met that party’s burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(2).) Once the defendant has met that burden, “the burden shifts to the plaintiff ... to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (Ibid.) However, “[f]rom commencement to conclusion, the moving party bears the burden of persuasion that there is no genuine issue of material fact and that he is entitled to judgment as a matter of law.” (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 845 (Aguilar).)

“A party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if the party contends that the cause of action has no merit, that there is no affirmative defense to the cause of action, that there is no merit to an affirmative defense as to any cause of action, that there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff or plaintiffs. A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (Code Civ. Proc., § 437c, subd. (f)(1).)

“The question is whether defendant ‘conclusively negated a necessary element of the plaintiff’s case or demonstrated that under no hypothesis is there a material issue of fact that requires the process of trial.’ [Citations.] Moreover, ‘we must view the evidence in a light favorable to plaintiff as the [opposing] party [citation], liberally construing [his] evidentiary submission while strictly scrutinizing defendants’ own showing, and resolving any evidentiary doubts or ambiguities in plaintiff’s favor. [Citations.]’ [Citations.] And a plaintiff resisting a motion for summary judgment bears no burden to establish any element of his or her case unless and until the defendant presents evidence either affirmatively negating that element (proving its absence in fact), or affirmatively showing that the plaintiff does not possess and cannot acquire evidence to prove its existence.” (Reeves v. Safeway Stores, Inc. (2004) 121 Cal.App.4th 95, 106–107 (Reeves), internal quotation marks omitted.)

“The supporting papers shall include a separate statement setting forth plainly and concisely all material facts that the moving party contends are undisputed. Each of the material facts stated shall be followed by a reference to the supporting evidence.” (Code Civ. Proc., § 437c, subd. (b)(1).) “ ‘Material facts’ are facts that relate to the cause of action, claim for damages, issue of duty, or affirmative defense that is the subject of the motion and that could make a difference in the disposition of the motion.” (Cal. Rules of Court, rule 3.1350(a)(2).) “The separate statement should include only material facts and not any facts that are not pertinent to the disposition of the motion.” (Id., rule 3.1350(d)(2).) Litigants are to “[i]nclude only those facts which are truly material to the claims or defenses involved because the separate statement effectively concedes the materiality of whatever facts are included. Thus, if a triable issue is raised as to any of the facts in your separate statement, the motion must be denied! [Citation.]” (Nazir v. United Airlines, Inc. (2009) 178 Cal.App.4th 243, 252 (Nazir).)

Here, Undisputed Material Fact (UMF) No. 2, as framed by the Nastos, states that, “Plaintiffs’ sole allegation against John and Barbara Nastro is that they are owners of the Subject Property.” (Nastos’ Sep. Stat., UMF No. 2.) However, the SAC alleges liability that does not solely turn on the issue of ownership of the Property. As alleged in the SAC, “JOHN NASTRO AND BARBARA NASTRO are also owners of the Subject Property, in conjunction with, or through MANNING HOLDINGS, LLC.” (SAC, ¶ 2, italics added.) As alleged in the SAC, “Defendant SIERRA PROPERTY GROUP, INC. (‘Sierra’) is a California Corporation which manages, repairs, and maintains the property in conjunction with and on behalf of the Owner Defendants [which includes the Nastos].” (SAC, ¶ 3, italics added.) The SAC alleges the Property was owned and operated by defendants. (SAC, ¶ 1, italics added.) The SAC alleges that “Defendants are in the business of renting, managing, maintaining, and repairing residential units, including those affected by water intrusion and mold ... [but] Defendants chose to do nothing to address the water damage or existing mold on the premises and instead actively concealed the presence of falsely represented within Plaintiffs’ lease that they inspected the premises, and intentionally or recklessly falsely represented that it was free from mold.” (SAC, ¶ 8.) UMF No. 2 is properly disputed. (Nazir, supra, 178 Cal.App.4th at p. 252.)

Because there are allegations in the SAC that seek to establish liability for the Nastos beyond mere ownership of the Property, the Nastos' motion for summary judgment and for summary adjudication is based on an incorrect premise. (See Pltfs.'s Resp. to Sep. Stat., UMF No. 2.) UMF No. 2 is set forth in the Nastos' separate statement as to each issue of summary adjudication presented in this motion. (See Pltfs.'s Resp. to Sep. Stat., p. 2, ll. 11-15, p. 8., ll. 4-7, p. 13, ll. 23-27, 19, ll. 10-14, p. 25, ll. 7-10, p. 31, ll. 3-7, p. 36, ll. 19-23, p. 42, ll. 11-15, p. 48, ll. 5-7; see also Declaration of Mark Cefalu, ¶ 2.) The Nastos have not carried their burden to show there is no triable issue as to any material fact as to any issues presented in the motion, as the Nastos framed them. (Code Civ. Proc., § 437c, subd. (c); (Nazir, supra, 178 Cal.App.4th at p. 252.) The motion will be denied on this basis.

In addition, the quitclaim deed relied upon by the Nastos provides in part as follows: "FOR A VALUABLE CONSIDERATION, receipt of which is hereby acknowledged, John Nastro and Barbara Nastro, husband and wife as joint tenants, do hereby remise, release and forever quitclaim to Manning Holdings, LLC, a California Limited Liability Company all right, title, and interest that Grantors have in the following described real property in the City of Goleta, County of Santa Barbara, State of California." (Declaration of Carl Nastro, Ex. A.) However, the deed also states, while "[t]his conveyances changes the manner in which title is held, grantor(s) and grantee(s) remain the same and continue to hold the same proportionate interest" (Ibid.) There appear to be triable issues on the meaning and practical effect of the quitclaim deed.

As to the tort claims, even assuming the Property title is held solely by Manning, the limitation of liability for LLC members does not "affect the liability of a member of a limited liability company to third parties for the member's participation in tortious conduct." (Corp. Code, § 17703.04.) "[M]anagers may not be held liable for tortious or criminal wrongs committed by the company merely because of their status as managers, but may be personally liable for their participation in those wrongs." (People v. Pacific Landmark, LLC (2005) 129 Cal.App.4th 1203, 1216.)

The declaration of John states that Manning is comprised of four members, two of which are a trusts, and that he is trustee of two of those trusts. (John Decl., ¶¶ 2-4.) Similarly, Barbara states that she is co-trustee for one of the Manning member-trusts. (Barbara Decl., ¶¶ 2-3.) Plaintiff submits deposition testimony that the members (which included John and Barbara as trustees) controlled Manning and that rent from the Property ultimately benefited the Nastos. (Cefalu Decl., Ex. G at p 39, l. 7 – p. 40, l. 9.)

The Nastos do not provide evidence of whether they had personal knowledge of prior water damage at the Property or ongoing mold issues, or whether they knew or should have known about tenants living under these circumstances at the Property for the Nastos' financial benefit. (See *ibid.*; John Decl., ¶¶ 2-4.) Even if the Property were owned by Manning and the Nastos had no direct interaction with the plaintiffs or other tenants, the Nastos may (as controlling members of Manning) have nonetheless had duties to inform plaintiffs of the circumstances, prohibit persons from living in the Property, and take other action to ensure that plaintiffs and tenants did not suffer significant health injuries. (SAC, ¶¶ 6-21, 69, 71.) Summary adjudication is improper as to the tort claims for these additional reasons.

Based on the foregoing and all the evidence submitted by the parties, the Nastos have not conclusively negated a necessary element of the plaintiffs' case or any cause of action therein, or demonstrated that under no hypothesis is there a material issue of fact that requires the process of trial. (Reeves, supra, 121 Cal.App.4th at pp. 106–107; Aguilar, supra, 25 Cal.4th at p. 845; Code Civ. Proc., § 437c, subds. (f)(1), (p)(2).) For all these reasons, the motion will be denied.

As to the evidentiary objections, "[i]n granting or denying a motion for summary judgment or summary adjudication, the court need rule only on those objections to evidence that it deems material to its disposition of the motion. Objections to evidence that are not ruled on for purposes of the motion shall be preserved for appellate review." (Code Civ. Proc., § 437c, subd. (q).) The evidentiary objections raised by the parties were not material to the court's ruling.

Judges

Judge Donna D. Geck

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